

new car, paying off credit card debt, planning for retirement, or saving for that trip to Cancun.

Having a working budget can greatly reduce the stress in your life that revolves around money issues. You'll know what you can or can't afford. You'll feel confident that you'll be able to pay your bills when they're due, or you'll have advance warning that there's going to be a problem, giving you time to plan alternatives.



*The Millionaire Next Door* by Thomas J. Stanley and William D. Danko shows that simple lifestyles, not big incomes, turn average people into millionaires. Many Americans buy a more expensive house than they can comfortably afford, drive the latest cars, spend large sums on their wardrobes, buy all the latest electronic gadgets, and live from paycheck to paycheck.

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### **What Makes a Good Budget?**

A good spending plan is flexible and realistic. It's a road map that offers alternative routes to your destination, depending on your personal road conditions. It should be dynamic, changing to fit your needs. If you have no kids, you wouldn't use the same budget as someone who does; if you live in rented housing, you wouldn't use the same budget as someone who owns his home. Life changes, and so should your budget.

The complexity level of a good budgeting system should match the level of your time and interest. Some people love recording the details. If you're not one of them, choose a simpler approach so it's not too much of a chore. The objective is to come up with a system you can live with for a long time.